

Credit Memo - Chevron Corporation

TO: Lending Committee

FROM: Energy Sector Lending Team

DATE: May 2026

RE: Credit Facility Review - Chevron Corporation (NYSE: CVX)

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Executive Summary

We recommend **CONDITIONAL APPROVAL** of a \$5.0 billion revolving credit facility for Chevron Corporation, subject to covenant protections and periodic review triggers. Chevron is one of the world's largest integrated energy companies, with FY2025 revenues of \$189.0 billion, total assets of \$329.6 billion as of Q1 2026, and stockholders' equity of \$183.7 billion. The company maintains a strong asset base and diversified revenue streams across upstream, downstream, and chemicals operations.

Key credit strengths include: (1) massive scale and market position as a publicly traded integrated energy major (NYSE: CVX, CIK: 0000093410); (2) robust equity cushion with stockholders' equity of \$183.7 billion supporting total assets of \$329.6 billion; (3) consistent profitability with FY2025 net income of \$12.3 billion and Q1 2026 net income of \$2.2 billion; and (4) manageable cost structure with cost of goods sold representing approximately 57.2% of FY2025 revenues.

Key credit risks include: (1) commodity price volatility inherent in the energy sector, which directly impacts revenue and margins; (2) significant capital expenditure requirements typical of integrated energy operations; (3) rising total liabilities, which increased from \$131.8 billion at FY2025 to \$140.2 billion at Q1 2026, an increase of \$8.3 billion; and (4) declining net income trend from FY2025 annualized levels, with Q1 2026 net income of \$2.2 billion representing a potential run-rate below the prior year's \$12.3 billion.

Proposed facility terms: \$5.0 billion revolving credit facility with a 5-year tenor, financial covenants requiring maintenance of a debt-to-equity ratio not exceeding 0.80x, minimum interest

coverage of 3.0x, and semi-annual financial reporting requirements. Pricing at SOFR + 150bps with a commitment fee of 30bps on undrawn amounts.

Company Overview

Chevron Corporation (NYSE: CVX) is a major integrated energy company operating in the energy sector. The company is registered with the SEC under CIK number 0000093410 and files periodic reports with the Securities and Exchange Commission. As of the most recent data available, Chevron's most recent quarterly report (10-Q) was filed on May 7, 2026, with additional Form 4 filings and a Form SD filing submitted on May 8, 2026.

As an integrated energy company, Chevron operates across the full value chain of the energy industry, including exploration and production (upstream), refining and marketing (downstream), and chemicals manufacturing. The company's massive revenue base of \$189.0 billion in FY2025 and total assets of \$329.6 billion as of Q1 2026 position it among the largest publicly traded corporations globally.

Chevron's financial profile reflects the capital-intensive nature of the energy industry. The company reported research and development expenses of \$427 million in FY2025, an increase from \$353 million in FY2024 and \$320 million in FY2023, indicating ongoing investment in technology and operational efficiency. Selling, general and administrative expenses totaled \$5.1 billion in FY2025, representing approximately 2.7% of total revenues.

Financial Analysis

Revenue Trends: Chevron reported total revenues of \$189.0 billion for FY2025 and \$48.6 billion for Q1 2026. Revenue excluding assessed taxes was \$184.4 billion for FY2025 and \$47.6 billion for Q1 2026. Quarterly revenue progression in FY2025 showed Q2 revenues of \$92.4 billion and Q3 revenues (cumulative nine months) of \$142.2 billion, with Q3 standalone revenues of approximately \$49.7 billion. The Q1 2026 revenue of \$48.6 billion is comparable to Q3 2025 standalone revenues of \$49.7 billion, suggesting relatively stable quarterly revenue generation. Year-over-year revenue growth analysis is limited by available historical data, but the Q1 2026 figure suggests continued robust top-line performance.

Profitability: Net income for FY2025 was \$12.3 billion, yielding a net profit margin of approximately 6.5% ($\$12.3\text{B} / \189.0B). Q1 2026 net income was \$2.2 billion on revenues of \$48.6 billion, representing a net profit margin of approximately 4.5%. This margin compression from 6.5% to 4.5% warrants close monitoring. Diluted earnings per share followed a similar trajectory, declining from \$6.63 for FY2025 to \$1.11 for Q1 2026. On an annualized basis, Q1 2026 EPS of \$1.11 would imply approximately \$4.44 for the full year, representing a potential 33% decline from FY2025 levels. However, quarterly earnings can be volatile in the energy sector and annualization may not reflect seasonal patterns.

Balance Sheet: As of Q1 2026, Chevron reported total assets of \$329.6 billion, total liabilities of \$140.2 billion, and stockholders' equity of \$183.7 billion. The resulting debt-to-equity ratio is approximately 0.76x ($\$140.2\text{B} / \183.7B), indicating that the company finances approximately 43% of its assets with debt. Total liabilities increased from \$131.8 billion at FY2025 to \$140.2 billion at Q1 2026, an increase of \$8.3 billion or 6.3% in a single quarter. Meanwhile,

stockholders' equity decreased from \$186.5 billion to \$183.7 billion, a decline of \$2.7 billion. This divergence suggests the company may be taking on leverage while equity is contracting, a trend that requires monitoring.

Liquidity: Cash and cash equivalents data is limited to older periods, with the most recent available figure being \$4.0 billion as of Q2 2024. Historical cash balances show a declining trend from \$8.2 billion at FY2023 to \$6.3 billion in Q1 2024 and \$4.0 billion in Q2 2024. The absence of current Q1 2026 cash data limits our liquidity assessment. However, given total assets of \$329.6 billion and the company's ability to generate operating cash flows (as evidenced by \$12.3 billion in FY2025 net income), liquidity risk appears manageable but warrants further investigation through the full 10-Q filing.

Operating Efficiency: Cost of goods and services sold was \$108.2 billion for FY2025 and \$28.3 billion for Q1 2026. As a percentage of revenue, COGS represented 57.2% in FY2025 (\$108.2B / \$189.0B) and 58.2% in Q1 2026 (\$28.3B / \$48.6B). The slight increase in cost ratio in Q1 2026 aligns with the observed margin compression. R&D spending increased year-over-year from \$320 million in FY2023 to \$353 million in FY2024 to \$427 million in FY2025, representing a cumulative increase of 33.4% over two years, suggesting the company is investing in technology and innovation to maintain competitive positioning.

Risk Assessment

Commodity Price Risk: As an integrated energy company operating in the energy sector, Chevron's revenues and profitability are directly exposed to fluctuations in oil and natural gas prices. The observed margin compression between FY2025 and Q1 2026 (net profit margin declining from 6.5% to 4.5%) may reflect adverse commodity price movements or shifts in the production mix. Quarterly revenue volatility is evident in the data, with Q2 2025 revenues of \$92.4 billion and Q3 2025 revenues of \$49.7 billion demonstrating significant variability. A sustained downturn in commodity prices could materially impact Chevron's ability to service debt obligations.

Capital Intensity Risk: The energy sector requires substantial ongoing capital investment to maintain production levels and develop new reserves. Chevron's R&D spending has increased from \$320 million in FY2023 to \$427 million in FY2025, a 33.4% increase over two years, reflecting the ongoing need for technological investment. Additionally, the increase in total assets from \$324.0 billion at FY2025 to \$329.6 billion at Q1 2026, combined with rising liabilities, suggests continued capital deployment. High capital requirements may limit financial flexibility during commodity downturns.

Leverage Trajectory Risk: The most concerning trend identified in the data is the rapid increase in leverage. Total liabilities increased by \$8.3 billion (6.3%) in a single quarter from \$131.8 billion at FY2025 to \$140.2 billion at Q1 2026. Concurrently, stockholders' equity declined by \$2.7 billion from \$186.5 billion to \$183.7 billion. This combination drove the debt-to-equity ratio from approximately 0.71x at FY2025 to approximately 0.76x at Q1 2026. If this trajectory continues, the company could approach the proposed covenant threshold of 0.80x within the next few quarters. The divergence between rising liabilities and declining equity represents a key monitoring point for the proposed credit facility.

Margin Compression Risk: Q1 2026 profitability metrics showed deterioration compared to FY2025 averages. The net profit margin declined from 6.5% to 4.5%, and COGS as a percentage of revenue increased from 57.2% to 58.2%. Diluted EPS of \$1.11 in Q1 2026, when annualized, suggests potential full-year EPS of approximately \$4.44 compared to \$6.63 in FY2025, a 33% decline. While quarterly results can be volatile, the combination of rising costs, declining margins, and increasing leverage warrants heightened scrutiny. SG&A expenses of \$1.1 billion in Q1 2026 on an annualized basis would approximate \$4.3 billion, below the FY2025 level of \$5.1 billion, suggesting some cost discipline in overhead.

Conclusion and Recommendation

Based on our analysis of Chevron Corporation's financial position as of Q1 2026, we assign a credit risk rating of BBB+ (Investment Grade - Adequate). Chevron's massive scale (\$189.0 billion in FY2025 revenues, \$329.6 billion in total assets), consistent profitability (\$12.3 billion FY2025 net income, \$2.2 billion Q1 2026 net income), and strong equity base (\$183.7 billion stockholders' equity) support investment-grade creditworthiness. The current debt-to-equity ratio of 0.76x remains within acceptable parameters.

However, the observed trends of rising liabilities (\$8.3 billion increase in one quarter), declining equity (\$2.7 billion decrease), and margin compression (net profit margin declining from 6.5% to 4.5%) introduce meaningful risk factors that must be monitored. We recommend **CONDITIONAL APPROVAL** of the \$5.0 billion revolving credit facility subject to the following conditions:

Proposed Covenants and Conditions: (1) Maximum debt-to-equity ratio of 0.80x, tested quarterly; (2) Minimum interest coverage ratio of 3.0x; (3) Minimum stockholders' equity of \$175.0 billion; (4) Semi-annual financial reporting with delivery of 10-Q and 10-K within 45 days of filing; (5) Material adverse change clause triggered by any credit rating downgrade below investment grade; (6) Commitment reduction mechanism if debt-to-equity exceeds 0.78x for two consecutive quarters.

The facility pricing should reflect the BBB+ risk rating at SOFR + 150bps with a 30bps commitment fee on undrawn balances. We recommend annual review of the facility with the next comprehensive review scheduled upon availability of FY2026 data. The bank should obtain the complete Q1 2026 10-Q filing (filed May 7, 2026) for detailed cash flow analysis and supplemental disclosures not available in the current data package.